AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2018

Banking Paper II

Time: 2 hours 25 minutes Marks: 50

AKEB May 2018 Test for E&L Learning Only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are TWELVE questions. Answer ALL questions. Questions 11 & 12 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or in erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

Q.1. (Total 3 Marks)

From the given description, identify the types of bank with reference to formation.

S. No.	Description	Type of Bank
1	The legislative assembly (council) gave the approval for existence of a bank through a legislative amendment.	
2	The king has initiated a micro-finance bank for the lower middle class entrepreneurs so they can participate well in the economy.	
3	The prime group of industries is establishing their own private exchange bank under the company's ordinance.	

Q.2. (Total 3 Marks)

Classify the following types of bank with reference to their function.

S. No.	Description	Type of Bank
1	A bank that monopolises currency issuance and manages public debts and acts as custodian of foreign exchange.	
2	This bank is established to finance the farmers for their purchase of fertilizers, seeds and other agricultural equipments.	
3	This bank is involved in foreign trade; it provides foreign currency and facilitates the foreign currency conversion to importers.	

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Q.3. (Total 3 Marks)

Identify any THREE functions of commercial bank and services provided in the given scenarios.

(**Note**: The first scenario has been done for your assistance.)

S. No.	Scenario	Function	Service
1	**Mr Amar distributes the salaries to the staff through direct transfer into their respective bank account.**	**Public Utility Service**	**Public Utility Services (transfer of money)**
2	Mr Saleem opened a savings account with the bank to secure his monthly savings and get good returns.		
3	After submitting the relevant documents, Mr Kareem has received approval of car loan from a bank.		
4	On behalf of Alhpa Corporation, ABC Bank collected money against issuance of shares.		
5	Mr Abbas has opened a letter of credit from a bank for importing wrist watches from China.		
6	Mr Amin instructed his bank to correspond on legal and commercial matters on his behalf with the insurance company.		

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Q.4. (Total 3 Marks)

Identify the preferable bank account keeping in view the conditions mentioned in the given table.

S. No.	Scenario	Type of account
1	Ms Salma is working on daily wages; she would like to open a bank account that yields interest. This money may be withdrawn by Salma at any time.	
2	Mr Ali works as a salesman for a departmental store, on achieving certain sales, he gets performance bonus and he would like to keep it in a non interest bearing account.	
3	Ms Karima is a Public Relations Officer; she gets double bonus salary as a reward. She would like to keep this amount in an account yielding profit for a pre-defined period.	

Q.5. (Total 4 Marks)

On the basis of the criteria given in the table, differentiate between cheque and bill of exchange. (Attempt any FOUR of the following).

Basis for Comparison	Cheque	Bill of Exchange
Meaning		
Validity Period		
Grace Days		
Acceptance		
Noting or Protesting		

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Q.6. (Total 4 Marks)

Explain any FOUR uses of cheques in everyday business transactions.

Q.7. (Total 4 Marks)

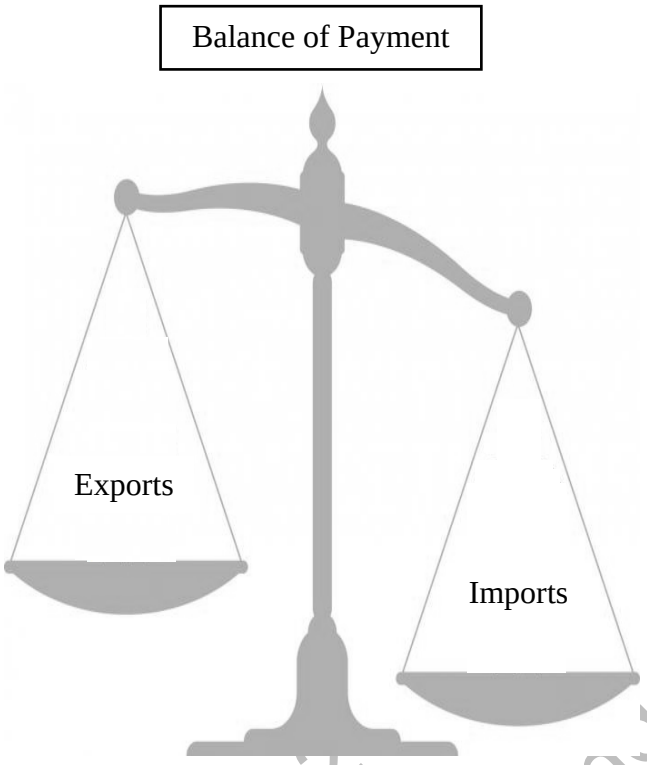
Discuss the role of any FOUR parties involved in letter of credit (L/C).

Q.8. (Total 4 Marks)

Explain any FOUR objectives of credit control.

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Q.9. (Total 5 Marks)



The given picture shows the status of balance of payment (BoP) of a country X.

a. Identify the status of the country as either surplus OR deficit in balance of payment (BoP). (1 Mark)

b. Suggest any FOUR measures that the government of the country X, should adopt to overcome this issue. (4 Marks)

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Q.10. (Total 5 Marks)

Describe any FIVE functions of National Development Finance Corporation (NDFC).

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Q.11. (Total 6 Marks)

EITHER

a. Mr Amir deposited Rs 2,000 into his saving account. The bank maintains 10% of the amount as cash reserve.

With reference to the above deposit, elaborate the process of credit creation with its formula.

OR

b. Explain any THREE benefits of opening a bank account to an account holder in the bank.

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Q.12. (Total 6 Marks)

EITHER

a. A cheque is said to be dishonoured when bank refuses to pay the amount to the payee. The bank gives reasons for returning the cheque to the payee through a cheque return memo which specifies the reason.

Discuss any SIX possible reasons on the basis of which a bank can return a cheque. (EXCEPT for the Non-Sufficient Fund (NSF) in the account).

OR

b. On January 01, 2017, Mr Imtiaz sold goods to Mr Saleem on credit for Rs 25,000. Mr Imtiaz drew a two month promissory note for the same amount and sent it to Mr Saleem for acceptance. On January 05, 2017, Mr Imtiaz received the accepted promissory note from Mr Saleem.

With reference to the given scenario, explain any SIX possible merits of drawing the promissory note.

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END OF PAPER

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